*262 J. Bollinger and Others v Costa Brava Wine Co. Ltd.

Positive/Neutral Judicial Consideration

Court
Chancery Division

Judgment Date
13 November 1959

Report Citation
[1958 J. No. 6442.]; [1959] 3 W.L.R. 966
[1960] Ch. 262

Chancery Division

Danckwerts J.

1959 Oct. 22, 23, 27; Nov. 13.

Passing Off—Non—exclusive trade description—Geographical term—Use of name "champagne"—Right to exclusive use of description claimed by class of producers in Champagne district of France—Description used by producers of wine outside district—Whether unlawful trade competition—Whether action lies at suit of class.

Statutory Duty—Civil action, whether created—False trade description—Whether breach of duty owed to rival trader— Merchandise Marks Act, 1887 (50 & 51 Vict. c. 28), ss. 2, 3, 19 (as amended by Merchandise Marks Act, 1953 (1 & 2 Eliz. 2, c. 48), ss. 1, 4).

Tort—New tort—Unlawful trade competition—Deliberate damage to property of another—Development of passing off. ****263***

The plaintiffs, J. Bollinger and eleven other companies incorporated under French law, suing on behalf of themselves and all other persons producing wine in the Champagne district of France which was supplied to England and Wales, claimed an injunction restraining the defendants, the Costa Brava Wine Co. Ltd., from applying the trade descriptions "champagne" or "Spanish Champagne" to wine made in Spain or from grapes grown in Spain, from passing off such wine as wine produced in the Champagne district by selling it as "Spanish Champagne" or under any other name including the name "champagne" and a declaration that the description "Spanish Champagne" or one including "champagne" was a false trade description. By their statement of claim the plaintiffs alleged that their wine was a naturally sparkling wine produced in the Champagne district by a process of double fermentation from grapes grown in the district, that it had long been known to the trade and public in the United Kingdom as "champagne" and as such had acquired a high reputation and that a member of the public or trade would understand "champagne" to mean their wine. They further alleged that the descriptions used by the defendants were false trade descriptions of wine produced in Spain, that sales of the wine by the defendants were an offence under section 2 (2) of the Merchandise Marks Act, 1887 , [1] and were in breach of the statutory duty which the defendants owed to the plaintiffs and that the defendants were acting in unlawful trade competition with the plaintiffs. The defendants denied that they had passed off their wine for that of the plaintiffs, or that if they had so passed it off, ***264** they had done anything for which the plaintiffs had a cause of action in English law; they also denied that the descriptions were false trade descriptions within the meaning of section 2 (2), or that the subsection imposed any statutory duty upon them, and that any of their alleged acts constituted unlawful competition; alternatively, they contended that unlawful competition was not a cause of action known to English law.

On the preliminary trial of the following points of law: (a) whether, assuming the truth of the plaintiffs' allegations, if the defendants had, as alleged, passed off their wine for that of the plaintiffs they had done any act in respect of which the plaintiffs had a cause of action according to English law; (b) whether section 2 (2) imposed a statutory duty on the defendants or a duty owed by them to the plaintiffs, and, if it did, whether it gave rise to an action in law; and (c) whether the plaintiffs' allegation that the defendants' acts constituted unlawful trade competition was sufficient to support a cause of action in English law:-

Held:

(1) that the law of passing off was not so limited in scope as to allow a person competing in trade to attach to his product a name or description with which it had no natural association, so as to make use of the reputation and goodwill gained by a product genuinely indicated by that name and description, and that it made no difference if the persons truly entitled to describe their goods by that name were a class producing goods in a certain locality and not merely one individual, for the description was part of their goodwill and a right of property. The law would fail if, as a general rule, it could offer no remedy for the deliberate act of one person causing damage to the property of another and it should, and did, provide a remedy for the type of unfair competition alleged in the statement of claim. Accordingly, on the assumptions made therein,

the plaintiffs had a right of action under paragraphs (a) and (c) of the points of law (post, pp. 283 and 284).

Pillsbury-Washburn Flour Mills Co. Ltd. v. Eagle (1898) 86 Fed.Rep. 608, and dicta of Lord Parker in *A. G. Spalding & Brothers v. A. W. Gamage Ltd. (1915) 32 R.P.C. 273, 284; 31 T.L.R. 328* , of Lord Herschell in *Reddaway v. Banham [1896] A.C. 199, 209; 12 T.L.R. 295; 13 R.P.C. 218* , of Romer L.J. in *Samuelson v. Producers' Distributing Co. Ltd. [1932] 1 Ch. 201, 210; 48 R.P.C. 580* , and of Goddard L.J. in *Draper v. Trist [1939] 3 All E.R. 513, 526; 56 R.P.C. 429* applied.

Dent v. Turpin (1861) 2 J. & H. 139 and *Southorn v. Reynolds (1865) 12 L.T. 75* considered.

Whitstable Oyster Fishery Co. v. Hayling Fisheries Ltd. (1900) 17 R.P.C. 461; (1901) 18 R.P.C. 434 distinguished.

(2) That, on consideration of the whole Act, a breach of the Merchandise Marks Act, 1887 , did not give rise to any civil right of action in a rival trader; if the protection of any class of person was contemplated, it was the purchasers of goods which might be misleadingly described, but the rights of rival traders in a passing-off action and of purchasers of goods in an action based on deceit ***265*** were carefully preserved by section 19 and no cause of action was given except where expressly provided. Accordingly, the Act imposed no statutory duty on the defendants, breach of which would enable the plaintiffs to bring an action against them (post, p. 287).

Dicta of Lord Simonds in *Cutler v. Wandsworth Stadium Ltd. [1949] A.C. 398, 407; 65 T.L.R. 170; [1949] 1 All E.R. 544* applied.

PRELIMINARY POINTS OF LAW set down for hearing before trial under Order 25, rr. 2, 3 .

The plaintiffs, J. Bollinger, Champagne Charles Heidsieck, Champagne Heidsieck & Cie., Monopole, Krug & Cie., Champagne Lanson Père & Fils, Champagne Louis Roederer, Maison A. Mérand & Cie., Maison Moët & Chandon, G. H. Mumm & Cie., Champagne Perrier Jouët, Champagne Pol Roger & Cie. and Veuve Clicquot Ponsardin, issued a writ claiming an injunction restraining the defendants, the Costa Brava Wine Co. Ltd., from applying the trade descriptions "champagne" or "Spanish Champagne" to wine made in Spain or from grapes grown in Spain, and from passing off, as and for wine produced in the Champagne district, wine not so produced by advertising, offering for sale, or selling it as Spanish champagne or under any other name or description that included the name "champagne," and a declaration that the description "Spanish Champagne" and any other description including the name "champagne" was a false trade description of wine made in Spain or from grapes grown in Spain.

By their statement of claim the plaintiffs alleged: (1) The plaintiffs, companies incorporated under the law of France, carried on business in the Champagne district of France as producers of wine which they supplied to England and Wales. The plaintiffs were suing on behalf of themselves and of all other persons who produced wine in the district and who supplied it to England and Wales.

(2) The wine produced by the plaintiffs was a naturally sparkling wine produced in the Champagne district by a process of double fermentation from grapes grown in the district, and it was and had for long been known to the trade and public throughout the United Kingdom as "champagne," and as such had acquired a high reputation. Any member of the trade or public in the United Kingdom ordering champagne or seeing wine advertised or offered for sale as champagne would expect it to be a naturally sparkling wine produced in the Champagne district from grapes grown there.

***266**

(3) The defendants, who carried on business at No. 75, Gray's Inn Road, London, W.C.1, as wine and spirits merchants, had passed off and threatened and intended to pass off, as and for champagne, wine not produced by the Champagne houses in the Champagne district from grapes grown in that district, offering for sale and selling the same as "Spanish Champagne."

(4) The descriptions "champagne" and "Spanish Champagne" were false trade descriptions of wine produced in Spain, and the sale by the defendants of wine to which a false trade description had been applied was an offence under section 2 (2) of the Merchandise Marks Acts, 1887 to 1953, and was in breach of the statutory duty which the defendants owed to the plaintiffs.

(5) The acts of the defendants constituted unlawful competition with the plaintiffs in the way of trade. By paragraph (6) the plaintiffs claimed that they had suffered damage, and that the defendants intended to continue what they had been doing.

The defendants by their defence admitted that a naturally sparkling wine produced in France had for a number of years past been sold in England under the description "champagne"; and that they were, and intended to continue, selling a wine produced in Spain under the name "Spanish Champagne," but they denied that if they had passed off their wine for champagne they had done any act in respect of which the plaintiffs had a cause of action against them according to English law. They also denied that the names "Spanish Champagne" or "champagne" were false trade descriptions, or that section 2 (2) of the Merchandise Marks Act, 1887 , imposed any statutory duty on them, or that any statutory duty was owed by them to the plaintiffs; alternatively, they contended that if the section did impose any such statutory duty it was not actionable at the suit of any of the plaintiffs. The defendants did not admit that any of the acts alleged constituted unlawful competition with the plaintiffs in the way of trade, and, alternatively, contended that if such acts did constitute such unlawful competition the same was not relevant to any cause of action known to English law.

By an order dated June 30, 1959, and made on the defendants' application, the following points of law were ordered to be set down for hearing in the non-witness list and disposed of before the trial of the action, pursuant to R.S.C., Ord. 25, rr. 2 and 3, and Ord. 36, r. 1 : (a) that assuming the truth of paragraphs 1 and 2 of the statement of claim, if the defendants had, as alleged in paragraph 3 thereof, passed off or threatened or intended to pass ***267** off as or for champagne wine not produced by the plaintiffs in the Champagne district from grapes grown in the Champagne district and supplied by the plaintiffs to England and Wales, they had not thereby done any act in respect of which any of the plaintiffs had a cause of action against them according to the law of England; (b) that section 2 (2) of the Merchandise Marks Acts, 1887 to 1953, did not impose any statutory duty on the defendants, or any statutory duty owed by the defendants to the plaintiffs and, alternatively, if the said section did impose any such statutory duty, it was not in law actionable at the suit of any of the plaintiffs or at all; and (c) that the allegation in paragraph 5 of the statement of claim that the acts of the defendants constituted unlawful competition was insufficient to support any cause of action known to English law.

R. O. Wilberforce Q.C., P. J. Stuart Bevan, R. K. Kuratowski and *E. G. Nugee* for the plaintiffs. Although this is the defendants' application it is more convenient for the plaintiffs to make their submissions first. It is agreed that points of law (a) and (c) are related. The question for determination is whether it is part of English law that where a number of persons produce goods in a defined geographical area which become known by the name of the area and as such acquire a reputation, those persons have a civil remedy against other persons producing goods outside the area who attach its name to their goods. If the plaintiffs are able to establish the facts pleaded in the statement of claim, the defendants are carrying on a trade with which a court of equity can deal by way of injunction. There is no conclusive authority either for or against our contention.

The court is here concerned not with a fancy or inventive name, nor with a descriptive name which cannot be appropriated by any particular person, but with a geographical name which is more analogous to a proper name; as against another person with the same name no individual has an exclusive right to its use in the absence of fraud, but a person can stop another from assuming his name for the purpose of trading with it. Geographical names are more complicated, for they may not be truly geographical at all, such as Jerusalem artichokes, or become generic, such as Wilton carpets, or acquire a secondary meaning which becomes identified with a particular product, such as Yorkshire relish. "Champagne" is a true geographical name, and such a name, particularly where it is attached to a natural product such as wine, constitutes possibly the most valuable ***268** part of the goodwill of the person whose business it is. The right to use the name through being in the geographical area is part of the goodwill. The defendants have said that this action does not comply with the requirements of a passing-off action, as there are not the usual allegations of passing off as and for the goods of the plaintiffs, but that is nihil ad rem as causes of action are not dispensed on a pigeon-hole basis but are simply an invention of the courts useful in dealing with particular situations.

Passing-off actions at common law were founded on misrepresentation or deceit, and in equity on injury to property; both elements are present here. There are two views as to the nature of the property to be protected: (1) a property in the name itself which is non-exclusive; or (2) a property in the goodwill arising from the name. In *A. G. Spalding & Brothers v. A. W. Gamage* [2] Lord Parker preferred the second view, but he left the question open. See also dicta of Romer L.J. in *Samuelson v. Producers' Distributing Co. Ltd.* [3] and of Goddard L.J. in *Draper v. Trist.* [4]

If there were only one plaintiff alleging that the description applied to his wine, he would be able to bring a passing-off action, and it is illogical and contrary to the general interest to say that a number of persons cannot bring an action but that they can do so if formed into a corporation; none of the English cases is decisive. [Reference was made to *Dent v. Turpin* [5] ; *Southorn v. Reynolds* [6] ; *Weller v. Baker* [7] ; *Hannay & Co. v. Smurthwaite* [8] ; *The Free Fishers and Dredgers of Whitstable v. Elliott,* [9] and *Dunnachie v. Young & Sons,* [10] a Scottish case.] The form of injunction granted in *Braham v. Beachim* [11] shows that the right is non-exclusive to persons within the area.

New York and R. Cement Co. v. Coplay Cement Co. [12] puts the defendants' argument in its strongest form, but the reasoning is false, since it likens a private wrong to a public wrong; a private wrong is privately redressed and it does not become public because many are injured. *Pillsbury-Washburn Flour Mills Co. Ltd. v. Eagle* [13] is good law; it is based on English and Scottish as well as American cases and the facts were broadly similar to those of the present case; it was followed in another American ****269*** case, *California Fruit Canners' Association v. Myer.* [14] It is not contended that there is any general right to restrain competition which is recognised as not contrary to public policy, but there comes a point, as in this case, at which it becomes unlawful because of the elements of misrepresentation and injury to property: *Mogul Steamship Co. v. McGregor, Gow & Co.* [15]

As to point of law (b), the following questions must be considered: (1) Do the Merchandise Marks Acts create a statutory duty? (2) Is the duty for the benefit of a class of which the plaintiff is a member? (3) Does the existence of a penalty preclude a civil remedy? [Reference was made to *Cutler v. Wandsworth Stadium Ltd.* [16] ; *Monk v. Warbey* [17] ; *Phillips v. Britannia Hygienic Laundry Co. Ltd.,* [18] and *Square v. Model Farm Dairies (Bournemouth) Ltd.* [19]] The Acts are directed against the deception of the public and also against injury to owners of trade marks and trade descriptions; there are cases in which individuals might suffer more serious damage than the public, and private interest was not intended to be excluded from remedy. In two Irish cases, *Thwaites & Co. v. M'Evilly* [20] and *J. Donohoe Ltd. v. Cherry Brothers Ltd.,* [21] an injunction was sought for breach of the Merchandise Marks Act, it being granted in the former.

The wording of section 2 (2) of the Act of 1887 shows that a prosecutor is able to take further proceedings, namely, to bring a civil action.

[DANCKWERTS J. I thought that that enabled a prosecutor to go after the true offender and not the innocent trader.]

That may be, but private prosecutions are commonly brought: see *Kat v. Diment.* [22] The wording of section 2 (2) does not prevent a statutory duty from arising. The form of the section is less important than the intention of the whole statute; the class of persons entitled to use the trade descriptions are within the class of persons to be protected. The existence of a penalty is not exclusive of other remedies; particularly in the case of an injunction, that remedy ought to lie irrespective of the right to damages: *Cooper v. Whittingham.* [23]

270

Sir Milner Holland Q.C., F. E. Skone James and *S. H. Noakes* for the defendants. The plaintiffs' argument tends to show that the foundation of the action is not in the appropriation of the name but of the goodwill. The plaintiffs have acquired a high reputation not because they make champagne but because they make good wine; since champagne is not a natural product, a high reputation does not attach to all makes. In *A. G. Spalding & Brothers v. A. G. Gamage Ltd.* [24] the defendants' acts involved linking inferior goods with the plaintiffs' goods, and the action was maintainable, since the sale by the defendants was likely to cause confusion in the mind of the public, whereas in this case the plaintiffs do not contend that there is a linking of the defendants' goods with their goods. *Samuelson v. Producers' Distributing Co. Ltd.* [25] and *Draper v. Trist* [26] were also cases of interference with the name or description of the goods of a particular trader. *Dent v. Turpin,* [27] *Southorn v. Reynolds,* [28] *Braham v. Beachim* [29] and *The Free Fishers and Dredgers of Whitstable v. Elliott* [30] were all clear cases of passing off in the sense disclaimed by the plaintiffs and do not establish that a person whose goods have a geographical name can stop others from using the name; and *Weller v. Baker* [31] has little bearing on the question.

The description "champagne" has come to mean a particular kind of wine produced by a special process and as such can be used by producers outside the area: *Whitstable Oyster Fishery Co. v. Hayling Fisheries Ltd.* [32] *Jamieson & Co. v. Jamieson* [33] shows that an action such as the present will only succeed if it is shown that the plaintiff's individual reputation is affected by the conduct of the defendant.

Even if a defendant acts unlawfully and the plaintiff is injured thereby, it does not follow that the court should interfere at the plaintiff's suit: *Institute of Patent Agents v. Lockwood* [34] ; *Abbott v. Sullivan.* [35] For a defendant to say that his goods are better than the plaintiff's, even if the statement is false and injurious to the plaintiff, does not mean that an action will lie: *Hubbuck & Sons Ltd. v. Wilkinson, Heywood & Clark Ltd.* [36] A ***271*** plaintiff must be able to show that the defendant's acts fall within the recognised category of legal wrongs; all that the defendants here have done is to describe their wine as champagne.

American law as stated in the Restatement of the Law of Torts, vol. 4, is wider than English law; the pleading in *Pillsbury-Washburn Flour Mills Co. Ltd. v. Eagle* [37] was based on passing off and the court relied on ordinary passing-off cases.

Whether there has been a breach of a statutory duty is only relevant where an Act of Parliament imposes a duty and the plaintiff was within the class of persons whom the Act seeks to protect: *Cutler v. Wandsworth Stadium Ltd.* [38] ; *Solomons v. R. Gertzenstein Ltd.* [39] ; *Groves v. Wimborne (Lord)* [40] ; *Britannic Merthyr Coal Co. v. David* [41] ; *Dawson & Co. v. Bingley Urban District*

Council [42] ; *Black v. Fife Coal Co. Ltd.* [43] ; *Read v. Croydon Corporation* [44] ; *Lavender v. Diamints Ltd.* [45] ; *Monk v. Warbey.* [46] The Merchandise Marks Acts were not passed for the benefit of rival traders. It must be considered whether the Act in question intended that there should be a civil remedy, and the nature and extent of any penalty are material. The Merchandise Marks Acts are public general Acts and do not contemplate a civil remedy; at common law the purchaser has a remedy for misrepresentation, and a competing trader has a remedy for passing off; section 19 of the Act of 1887 preserved these remedies. The broad principle is that, if there is no penalty in the statute, an action will lie, but if the penalty is severe, there is no other remedy: *London Armoury Co. Ltd. v. Ever Ready Co. (Great Britain) Ltd.* [47] In *Thwaites & Co. v. M'Evilly* [48] and *J. Donohoe Ltd. v. Cherry Brothers Ltd.* [49] the court assumed without deciding that the Acts created a civil right of action. An injunction will only lie in aid of a right of property, but the plaintiffs have no such right: *Attorney-General v. Ashborne Recreation Ground Co.* [50] ; *Devonport Corporation v. Tozer* [51] ; *Cooper v. Whittingham* [52] ; *Stevens v. Chown.* [53]

***272**

R. O. Wilberforce Q.C. in reply. The fact that relief has been given where there has been a breach of a positive duty does not mean that it will be given in those cases alone: *London Armoury Co. Ltd. v. Ever Ready Co. (Great Britain) Ltd.* [54] ; *Dawson & Co. v. Bingley Urban District Council* [55] ; *Chamberlaine v. Chester and Birkenhead Railway Co.* [56] ; *Carlton Illustrators v. Coleman & Co. Ltd.* [57]

There are three classes of persons for whose benefit the Acts were passed: the general public, purchasers of goods and manufacturer of goods. Section 17 of the Act of 1887 introduced into a contract of sale an implied warranty that a trade description which has been applied to goods is not false. The severity of a penalty is not conclusive against a right to bring a civil action. The Merchandise Marks Act, 1926 , was public interest legislation and the *London Armoury Co. Ltd.* case [58] was based solely upon that Act. The relevant legislation is the Act of 1887 as amended in 1953.

A full right of property does not have to exist for the granting of an injunction, but it will be granted to prevent an illegal act which is threatened from being done: *per* Jessel M.R. in *Cooper v. Whittingham* [59] ; *Attorney-General v. Ashborne Recreation Ground Co.* [60] It does not follow from the Merchandise Marks Acts that the creation of a right in property is necessary. It is necessary to show that the Acts are for the benefit of the plaintiff amongst others, and then it is sufficient if there is a mere breach for an injunction to be granted to prevent future breaches; it would be narrowing the law if it became necessary to show that a full right of property existed. By statute an injunction will lie for infringement of a trade mark, and the Acts put trade marks and trade descriptions on the same basis. Moreover, an injunction will lie in every case where a personal as opposed to a public right is infringed: *Institute of Patent Agents v. Lockwood.* [61]

Cur. adv. vult.

November 13. DANCKWERTS J.

read the following judgment, which after referring to the statement of claim, the defence and the points of law continued: It appeared from the arguments ***273*** before me that the points of law (a) and (c) were, in substance, part of the same cause of action relied upon by the defendants, so that there were really only two points of law to be decided.

It appears, therefore, that, if the points of law are decided entirely against the plaintiffs, this will bring the action to an end; but, if any of the points of law are decided in the plaintiffs' favour, it does not necessarily follow that the action will succeed, because, on the facts, it will still be open to the defendants to show that they have not been guilty of any sort of passing off and that the description used by them for their wine is not a false trade description or otherwise contrary to the provisions of the Merchandise Marks Acts, 1887 to 1953. I am not deciding these questions of fact and evidence at this hearing, and I am not concerned with the question whether the plaintiffs are entitled to sue on behalf of all the wine producers in the Champagne district of France.

It is desirable, I think, to state in a clear form the assumptions upon which the arguments proceeded. These are the assumptions: (1) The plaintiffs carry on business in a geographical area in France known as Champagne; (2) the plaintiffs' wine is produced in Champagne and from grapes grown in Champagne; (3) the plaintiffs' wine has been known in the trade for a long time as "champagne" with a high reputation; (4) members of the public or in the trade ordering or seeing wine advertised as "champagne" would expect to get wine produced in Champagne from grapes grown there; and (5) the defendants are producing a wine not produced in that geographical area and are selling it under the name of "Spanish Champagne."

It was admitted on behalf of the plaintiffs that the action was not a "passing-off action" in the sense that there was any allegation that the defendants' product was passed off as wine produced by any of the plaintiffs individually. The plaintiffs' first contention (which is the subject of points (a) and (c)) is that where a number of persons produce goods in a geographical area and these goods become known by the name of the geographical area and, as such, acquire a reputation, persons who produce similar goods outside the geographical area and attach the name of the geographical area to their goods are guilty of what is described in paragraph 5 of the statement of claim as "unlawful competition" and are passing off their goods as the goods of other persons in a way which the law prohibits. It was said that the name "champagne" was part of the plaintiffs' goodwill which was injured by the defendants' conduct and that ***274*** the law was not so limited as to deprive persons so injured of a right of action to protect their property, and that it is not an objection that the plaintiffs have no exclusive right to the name "champagne" in the sense that they share the right to use it with all other persons who produce wine in the Champagne area.

The defendants, on the other hand, claim that the plaintiffs' case could not come within the well-settled ambit of a passing-off action, and contended that the law did not provide a civil remedy for such matters as were the subject of the plaintiffs' complaint.

On the assumptions which have to be made for the purpose of these arguments (which, as I have pointed out, do not necessarily represent the true facts of the case), the taking of the name of a product which is associated with growers in a different district appears, prima facie, to be a reprehensible course of conduct, but whether it is actionable must depend upon principle and the authorities which are relevant. A very large number of cases, as well as textbooks, were cited to me in argument.

The well-established action for "passing-off" involves the use of a name or get-up which is calculated to cause confusion with the goods of a particular rival trader, and I think it would be fair to say that the law in this respect has been concerned with unfair competition between traders rather than with the deception of the public which may be caused by the defendant's conduct, for the right of action known as a "passing-off action" is not an action brought by the member of the public who is deceived but by the trader whose trade is likely to suffer from the deception practised on the public but who is not himself deceived at all.

This aspect seems to me to be obscured in the passage in Clerk and Lindsell on Torts (1954), 11th ed., p. 2, to which I was referred: "An action at common law lay for 'passing-off' where there was an intent to deceive on analogy to an action for fraud, but unless the plaintiff proved that there was an intent to deceive no action lay. In equity, however, an injunction could be obtained to restrain the defendant from continuing a practice that was calculated to deceive, although there was no proof of an intent to deceive. Damages was not a remedy available in equity, but where the defendant had full knowledge of all the facts equity treated him as if he had an intention to deceive, and in such a case directed against him an account of profits arising from his fraud, but only from ***275*** the date of his knowledge. Accordingly, where the 'passing-off' was entirely innocent on the part of the defendant, who desisted so soon as the facts were brought to his notice, the plaintiff had no remedy by way of injunction and none for an account of profits. At common law no action would lie at all, but had there been a deceit an action would lie independently of proof of damage, though only nominal damages might be obtainable. It will, therefore, be observed that there were two different causes of action, one arising from deceit and the other from an equitable quasi-property. Under the dual administration of law and equity since 1873 this fact seems to have been obscured, so that as long ago as 1915 it could be suggested that nominal damages would lie for an innocent passing-off. It is not suggested that the present law is less logical than the old, but this confusion has left a legacy in the uncertainty which surrounds the true nature and extent in this 'quasi-property' in a trade description or name or, perhaps, goodwill."

The last few words seem to me to be truly related to the nature of the "passing-off" action, but nowhere in that passage is the point made clear that the plaintiff is not deceived; he has caught the defendant deceiving other persons by pretending that his goods are those of the plaintiff. The point is that the deception is injuring the plaintiff's trade.

Winfield on Torts (1954), 6th ed., pp. 733 et seq., seems to me to approach the subject more correctly in regarding the cause of action as being an example of competition which is unlawful. After pointing out that, in general, trade competition is lawful, the author refers to the examples of unlawful competition, such as interference by threats or slander of title, and includes "passing-off," concluding that the basis of the proceedings is the protection of rights of property affecting the plaintiff's trade, for there is no right of action where there is no interference with a plaintiff's trade (see *Day v. Brownrigg* [62] - the "Ashford Lodge" case). That difficulty does not arise in the present case. The whole basis of the plaintiffs' complaints is the damage which is alleged to be caused to the plaintiffs' trade in the wine called "champagne."

The view that the law is interfering to protect rights of property is clearly supported by the observations of Lord Parker in *A. G. Spalding & Brothers v. A. W. Gamage Ltd.* [63] (the "Orb" ***276** football case), where he says [64] : "There appears to be considerable diversity of opinion as to the nature of the right, the invasion of which is the subject of what are known as passing-off actions. The more general opinion appears to be that the right is a right of property. This view naturally demands an answer to the question - property in what? Some authorities say property in the mark, name or get-up improperly used by the defendant. Others say, property in the business or goodwill likely to be injured by the misrepresentation. Lord Herschell in *Reddaway v. Banham* [65] expressly dissents from the former view; and if the right invaded is a right of property at all, there are, I think, strong reasons for preferring the latter view"; and Lord Parker points out [66] that the plaintiff was not the party deceived.

The statements of Lord Parker and Lord Herschell are good enough for me; and the same view is supported by the statements of Romer L.J. in *Samuelson v. Producers' Distributing Co. Ltd.,* [67] and of Goddard L.J. in *Draper v. Trist,* [68] where he says [69] : "In passing-off cases, however, the true basis of the action is that the passing-off by the defendant of his goods as the goods of the plaintiff injures the right of property in the plaintiff, that right of property being his right to the goodwill of his business."

The plaintiffs claim that their goodwill in the name or description "champagne" is injured by the defendants' conduct. Sir Milner Holland, on behalf of the defendants, did not contest the correctness of the statements in those cases, but pointed out that each of them was a case of interference with the name or description of the goods of a particular trader. The issue still is whether an action lies at the suit of one or more traders who, as well as others, use or are entitled to use the particular name or description.

I was referred by Mr. Wilberforce on behalf of the plaintiffs to a number of English cases, which were admitted not to be decisive. The earliest of these is the strange case of "the dippers," that is to say, *Weller v. Baker.* [70] This case related to medicinal springs at Tunbridge Wells, and by certain articles of agreement made between the lord of the manor and the free tenants it had been agreed that no person should be permitted to ***277** follow the employment of a "dipper" except persons who had been chosen by the homage at the courts baron and approved by the lord of the manor, preference being given to the wives, widows and daughters of the freehold tenants, the number being limited to twelve. These articles of agreement were confirmed by a statute of George II. The "dippers" were women who attended at the springs and delivered the water therefrom to persons resorting thereto, and the dippers were rewarded with gratuities for doing this. The defendant, Dorcas Baker, who, though chosen by the homage, was not approved by the lord of the manor, proceeded to dip water and to receive gratuities, and the action was brought by the six chosen dippers and their husbands claiming that the defendant's conduct deprived them of moneys which they would otherwise have received. It was held by the Court of King's Bench that an action on the case lay for the defendant's interference with the plaintiffs' "right of employment" (being both an injury and damage), and that all the dippers had properly joined in the action. The court certainly considered that the defendant's conduct was a tort, and it would appear that the plaintiffs' employment was regarded as a freehold right of property; but the case does not seem to be very close to the present problem.

Dent v. Turpin, [71] relates to the watchmakers who were concerned with the great clock at Westminster. E. J. Dent had three places of business, and when he died in 1853 he bequeathed two of the businesses to his stepson, Frederick Rippon, who subsequently took the name of "Dent," and the other to his stepson, Richard Dent. The testator always labelled his watches "Dent, London." The defendants were watchmakers and exporters who had no connection with the name "Dent" at all, but labelled their watches "Dent, London." The plaintiff was the administratrix of Frederick Dent who herself had carried on his business. On demurrer it was argued that the plaintiff could not take proceedings without joining the administratrix of Richard Dent. Page-Wood V.-C. held that the plaintiff was entitled to succeed, observing that [72] "it is quite enough to aver, as the bill does, that these articles were manufactured and marked with the trade mark in question, without the consent of the plaintiff or of the other person entitled to use the name of Dent." This was, of course, clearly a case of passing-off by using the plaintiff's mark, but it does appear to show that the plaintiff need not have ***278** an exclusive right to the mark if the defendant has no right to it at all.

Very much to the same effect is *Southorn v. Reynolds.* [73] One of two brothers who separately manufactured clay tobacco pipes at Broseley in Shropshire, and sold them under the name of "Southorn's Broseley pipes," in continuation of a business founded by their father, brought the action against the defendant, Reynolds, who was a pipe manufacturer in the City Road, London, and had no establishment at or any connection at Broseley, and, somewhat impudently, it would appear, sold his pipes in boxes conspicuously labelled "Reynold's purified clay pipes made by Southorn, from Broseley." He had gone to Broseley to obtain someone of the name of "Southorn" and had taken into his employment an individual of that name who was simply an ordinary workman. Page-Wood V.-C., following his own decision in *Dent v. Turpin,* [74] granted an injunction, in spite of the objection taken that the plaintiff had not an exclusive right to the name. In this case both a surname and a geographical description were involved.

Braham v. Beachim [75] is of interest because the case concerns a name which was geographical. The defendants, who did not work a colliery in the parish of Radstock but did work seams of coal connected with the seams of coal in the parish of Radstock, called themselves "The Radstock Colliery Proprietors." The plaintiffs were the Dowager Countess Waldegrave and the trustees of her marriage settlement, and they worked all the coal in the parish of Radstock, with a small exception. Fry J. granted an injunction restraining the defendants, unless and until they should acquire a colliery or coal mine within the parish of Radstock, from trading under or using the name or style used by them, or any other name or style signifying that the defendants were proprietors of any colliery at Radstock. The relevance of this case is weakened, however, because it appears that the order was really made on the basis that "The Radstock Colliery Proprietors" would be taken to refer to the plaintiffs' business, and, therefore, in substance, the case is one of ordinary passing off.

Now come the two oyster cases. In *The Free Fishers and Dredgers of Whitstable v. Elliott* [76] the plaintiffs were a company incorporated under a statute of George III, and were entitled to the soil of the marine manor of Whitstable, to the exclusive right ***279*** of fishing therein, and also to the exclusive right of taking tolls from ships anchoring in the bay. The defendant, who was the contractor for the refreshment department of the Royal Courts of Justice, sold what he called "Whitstable native oysters" in the building at 2s. per dozen. The plaintiffs claimed that the only genuine Whitstable native oysters were those produced upon their beds, and alleged that the defendant's oysters were French oysters known in the trade as "seconds." It appeared that the oysters sold by the defendant came from the bed of the Sea Salter and Ham Oyster Co. at Whitstable, which were adjacent to those of the plaintiffs, but it also appeared that these oysters had not been born in the estuary of the Thames but on the coast of France, and had been laid down on the beds of the Sea Salter Co. until they arrived at maturity. Stirling J. found that the term "Whitstable native oysters" was not a proper description of the defendant's oysters. He said that the term "Whitstable" was properly applicable to any oysters matured at Whitstable, but that the term "native" meant oysters which came into being at a few places on the coast of Essex, and not only at Whitstable. So that "Whitstable native oysters" meant oysters matured at Whitstable, but also born there or at one of the places in Essex.

In a reserved judgment Stirling J. seems to have come to the conclusion that the name "Whitstable native oysters," primarily descriptive and geographical, had come to be the trade name of the plaintiffs, and he remarked that if the defendant or the Sea Salter Co., from whom he purchased, were selling oysters properly designated as "Whitstable native oysters" he could not have interfered. He felt suspicious about the conduct of the Sea Salter Co., but thought that the defendant might have acted in innocence. But, as the defendant declined to give an undertaking to discontinue the use of the name, an injunction was granted.

There is obviously some relevance in this case to the present, but I think that there is some justification for the comment of Sir Milner Holland that it was a case of ordinary passing off.

The other oyster case (to which my attention was called by Sir Milner Holland) is *Whitstable Oyster Fishery Co. v. Hayling Fisheries Ltd.* [77] The plaintiffs were, apparently, the same corporation as the plaintiffs in the earlier case, and they claimed that the proper word "Whitstable" in the trade description of oysters was confined to the plaintiffs and the Sea Salter Co. and indicated ***280*** the oysters of one or other and no other. The plaintiffs complained that the defendants had recently taken to selling oysters, not those produced by the plaintiffs or the Sea Salter Co., as "Whitstables," "Whitstable natives, selected," and other similar names and were passing off these oysters as those cultivated or matured by the plaintiffs or the Sea Salter Co. The action was dismissed, and it appears that the result of the case turned entirely on the question whether the description "Whitstable oysters" had acquired a secondary meaning, namely, either the plaintiffs' oysters or those of the Sea Salter Co.

Buckley J. said [78] : "In all cases such as this the question to be determined is one of fact, and what I have to try here first is whether these words 'Whitstable natives,' or 'Whitstable oysters,' which, according to their ordinary meaning would convey oysters, or oysters of a kind, coming from Whitstable, have a secondary meaning, by which the trade and the public understand them to mean not simply that thing - that class of goods - but certain goods which the plaintiffs only, or the plaintiffs and the Sea Salter Company, supply. I answer that question of fact by saying that the evidence satisfies me that the words are understood by the trade to mean not the plaintiff company's goods, or the Sea Salter Company's goods, but a particular class of goods which are known in the trade by that name."

Sir Milner Holland, very naturally, relied on this case, but I do not think that it is conclusive against the plaintiffs in the present case, because it appears to me that Buckley J. reached a finding of fact (which he stated and discussed [79] which differs in nature from the assumptions of fact which I am required to make for the purposes of the present case, and he seems to have thought that the term meant merely a particular class of oysters having certain characteristics, which is not of the same kind as the assumption on which I have to act.

I turn now to the Scottish case, *Dunnachie v. Young & Sons.* [80] The pursuers, who were two separate firms, manufactured firebricks at the farm of Glenboig from fireclay on the farm and had registered trade marks "Glenboig" and "Star Works, Glenboig," with "J. D." and a star; and their firebricks had attained a great reputation at home and abroad. The defendants made firebricks from a seam of clay identical in character with ***281** the clay worked at Glenboig, but about two miles from Glenboig, and stamped their bricks "Youngs Glenboig," advertising them as made from Glenboig clay. The court granted an interdict; but it is plain that, apart from the fact that the two firms who had the right to use the word "Glenboig" for their firebricks were the pursuers, the case is simply a passing-off case. Though "Glenboig" was a geographical expression, it was the trade mark, in whole or in part, of each of the aggrieved firms.

I must now deal with the three American cases to which I was referred. The first of these, *New York and R. Cement Co. v. Coplay Cement Co.,* [81] decided by two judges of the Federal Circuit Court in Pennsylvania, is in the defendants' favour. Some fifteen or twenty parties, including the plaintiffs, manufactured cement in the town of Rosendale, in the State of New York, and the cement made in Rosendale and its vicinity had for many years been known as "Rosendale Cement." The defendants were manufacturing and selling cement as "Anchor Rosendale Cement," though it was made in Lehigh County, Pennsylvania. The court held that it was insufficient to show that the plaintiffs had a mere right in common with others to use a particular trade mark, trade name or style of goods, and it was necessary to show an exclusive ownership or property therein. The court did not review the authorities and said that they relied upon the general principles of the law which seemed to be the most applicable to the case. So the action failed. The court was oppressed with the difficulties which might arise if persons could bring actions in respect of such things as Dresden china or Irish linen, and thought it might "open a Pandora's box of vexatious litigation." But the proposition of the need for exclusive right, as stated by the court, apart from the other American cases, seems to me to be at variance with the *English cases Dent v. Turpin* [82] and *Southorn v. Reynolds.* [83]

The next case, *Pillsbury-Washburn Flour Mills Co. Ltd. v. Eagle,* [84] a decision of three Federal judges on appeal from the Circuit Court of the Northern District of Illinois, is, in my view, irreconcilable with the last-mentioned case. This was an action by a number of manufacturers, including one, the one named in the case, which was an English company, who for many years had manufactured flour on a large scale at the city of Minneapolis in Minnesota. The defendants were wholesale and retail grocers, ***282** selling flour at Chicago, Illinois. The plaintiffs sought to stop them from using on barrels and sacks containing flour the words "Minnesota Patent" or "Minneapolis, Minnesota" or "Minneapolis, Minn." The plaintiffs had for many years identified their flour by the words "Minneapolis," "Minneapolis, Minn.," or "Minneapolis, Minnesota," or "Minnesota Patent." The use of the words "Minnesota" or "Minnesota Patent" was understood by the trade and the public to mean flour made under a certain patent process somewhere in the State of Minnesota. Originally, before 1893, it appeared that the defendants had stocked and sold the plaintiffs' flour under the name and description used by them, but after 1893 proceeded to use the names and descriptions complained of for flour produced at Milwaukee, in Wisconsin, which was alleged to be inferior flour sold at a cheaper price.

The court, after an extensive examination of the authorities, including numerous English cases, and among them nearly all the leading English cases on ordinary passing off, came to the conclusion that an injunction ought to be granted, reversing the decision of the court below. A curious circumstance is that the *New York and R. Cement Co.* case [85] was referred to on an incidental point without any note of disapproval.

Sir Milner Holland sought to weaken the relevance of this case by reason of the court's reliance on a number of the ordinary cases of passing off and said that the pleading in the case was simply on the basis of passing off. Mr. Wilberforce's reply to this was to observe that the court was dealing with two propositions as it went through the cases, (1) that geographical expressions may constitute a trade description, and (2) that the plaintiffs need not have an exclusive right to use the trade description. The case is, of course, not binding upon me, and it was contended by Sir Milner Holland that it was not in accordance with English law.

The remaining American case is *California Fruit Canners' Association v. Myer.* [86] The headnote is: "Canning companies in California, who put up and sell fruits grown in that state, have the right to use thereon the name 'California' as a trade designation, and, when their products have become well and favourably known by such name, are entitled to protection by injunction against the fraudulent use on cans of the same kind of fruit, grown and put up elsewhere, of labels designating it ***283*** as California fruit, and falsely stating that it is put up in that state." This fairly states the effect of the case, which was decided by a single Federal judge in the Circuit District of Maryland, and the short judgment follows the *Pillsbury-Washburn Flour Mills* case. [87]

Sir Milner Holland contended that the mere fact that a defendant's conduct is injurious to the plaintiff or even, maybe, unlawful, does not necessarily give the plaintiff a cause of action; and no doubt this is true in certain circumstances. He relied upon (amongst other cases) *Institute of Patent Agents v. Lockwood,* [88] in which the Institute of Patent Agents and three registered patent agents practising in Glasgow sought to prevent the defender describing himself as a patent agent, and were held not entitled to an injunction. But this case has probably more relevance on the question relating to the Merchandise Marks Act and is not of assistance on the present point.

Another instance of loss being caused without the person so damnified being entitled to a remedy is *Abbott v. Sullivan,* [89] to which I was also referred; and there are, of course, the examples of mere extravagance of language which are recognised as part of everyday life, such as "the puffing" cases, an instance of which is *Hubbuck & Sons Ltd. v. Wilkinson, Heywood & Clark Ltd.* [90]

The substance of Sir Milner Holland's argument was that, before a person can recover for loss which he suffered from another person's act, it must be shown that his case falls within the class of actionable wrongs. But the law may be thought to have failed if it can offer no remedy for the deliberate act of one person which causes damage to the property of another. There are such cases, of course, but they occur, as a rule, when the claims of freedom of action outweigh the interests of the other persons who suffer from the use which a person makes of his own property. (For example, see *Day v. Brownrigg* [91] and *Mayor of Bradford v. Pickles.* [92]

There seems to be no reason why such licence should be given to a person, competing in trade, who seeks to attach to his product a name or description with which it has no natural association so as to make use of the reputation and goodwill which has been gained by a product genuinely indicated by the ***284*** name or description. In my view, it ought not to matter that the persons truly entitled to describe their goods by the name and description are a class producing goods in a certain locality, and not merely one individual. The description is part of their goodwill and a right of property. I do not believe that the law of passing off, which arose to prevent unfair trading, is so limited in scope. In my view, the decision in the *Pillsbury-Washburn Flour Mills* case [93] is good sense, and I find nothing in the English cases which is at all inconsistent with the reasoning of the American court, except possibly some of the remarks of Buckley J. in *Whitstable Oyster Fishery Co. v. Hayling Fisheries Ltd.,* [94] which, I think, related to the particular circumstances of the trade in oysters in those cases.

I think that the law should and does provide a remedy for the type of unfair competition which is set out in paragraph (a) of the points of law; but I wish to emphasise again that this conclusion is based upon the assumptions of fact which I am required to make for the purpose of the present hearing, and I must not be taken to have accepted in any other way the allegations that what the defendants have been doing causes or is likely to cause any confusion with the wine produced in the Champagne district of France. I think that it is desirable to state this, lest persons who have not followed the basis of the present hearing should be under misapprehension as to the effect of my decision. In short, I am not deciding whether the description "Spanish Champagne" is calculated to deceive.

I turn now to the point depending upon the Merchandise Marks Acts, 1887 to 1953. It is desirable to see what the Acts do. The really relevant Act is the Act of 1887. Section 2 creates offences as to trade marks and trade descriptions. It provides "(1) every person who - (a) forges any trade mark; or (b) falsely applies to goods any trade mark or any mark so nearly resembling a trade mark as to be calculated to deceive; or (c) makes any die, block, machine, or other instrument for the purpose of forging, or of being used for forging, a trade mark; or (d) applies any false trade description to goods; or (e) disposes of or has in his possession any die, block, machine, or other instrument for the purposes of forging a trade mark; or (f) causes any of the things above in this section mentioned to be done, shall, subject to the provisions of this Act, and unless he proves that he acted without intent to defraud, be ***285*** guilty of an offence against this Act." Paragraph (d) is the material paragraph for the purposes of the present case.

Subsection (2) contains ancillary provisions relating to the exposure of offending things for sale. Subsection (3) contains the penalties for offences, which are severe, being on conviction on indictment imprisonment for a term not exceeding two years, or a fine, or both imprisonment and fine, and up to four months' imprisonment or a £20 fine on summary conviction, with increased penalties on summary conviction for second or subsequent offences.

Among the definitions in section 3 (1) of "Trade description" is "any description, statement, or other indication, direct or indirect, ... (b) as to the place or country in which any goods were made or produced, or (c) as to the mode of manufacturing or producing any goods, or (d) as to the material of which any goods are composed. ... The expression 'false trade description' means a trade description which is false or misleading in a material respect as regards the goods to which it is applied, ..." The words "or misleading" were added by the Act of 1953.

It is not necessary to set out all the provisions of the Act, but section 17 may be noted, as it provides that on the sale or in the contract for the sale of any goods the vendor shall be deemed to warrant that the trade description is not a false trade description within the meaning of the Act, unless the contrary is expressed in some writing signed by or on behalf of the vendor and delivered at the time of the sale or contract to and accepted by the vendee.

In section 19 , there is a saving provision that the Act shall not exempt any person from any action, suit or other proceeding which might, but for the provisions of this Act, be brought against him.

There have been a very large number of decisions on the question whether a duty is imposed by a statute so as to create a civil cause of action. In *Cutler v. Wandsworth Stadium Ltd.* [95] the principles are described by Lord Simonds as follows [96] : "The only rule which in all circumstances is valid is that the answer must depend on a consideration of the whole Act and the circumstances, including the pre-existing law, in which it was enacted. But that there are indications which point with ***286** more or less force to the one answer or the other is clear from authorities which, even where they do not bind, will have great weight with the House. For instance, if a statutory duty is prescribed but no remedy by way of penalty or otherwise for its breach is imposed, it can be assumed that a right of civil action accrues to the person who is damnified by the breach. For, if it were not so, the statute would be but a pious aspiration. But 'where an Act' (I cite now from the judgment of Lord Tenterden C.J. in *Doe v. Bridges* [97] 'creates an obligation, and enforces the performance in a specified manner, we take it to be a general rule that performance cannot be enforced in any other manner.' This passage was cited with approval by the Earl of Halsbury L.C. in *Pasmore v. Oswaldtwistle Urban District Council.* [98] But this general rule is subject to exceptions. It may be that, though a specific remedy is provided by the Act, yet the person injured has a personal right of action in addition. I cannot state that proposition more happily, or indeed more favourably to the appellant, than in the words of Lord Kinnear in *Black v. Fife Coal Co. Ltd.* [99] 'If the duty be established, I do not think there is any serious question as to the civil liability. There is no reasonable ground for maintaining that a proceeding by way of penalty is the only remedy allowed by the statute. The principle explained by Lord Cairns in *Atkinson v. Newcastle and Gateshead Waterworks Co.* [100] and by Lord Herschell in *Cowley v. Newmarket Local Board* [101] solves the question. We are to consider the scope and purpose of the statute and in particular for whose benefit it is intended. Now the object of the present statute is plain. It was intended to compel mine owners to make due provision for the safety of the men working in their mines, and the persons for whose benefit all these rules are to be enforced are the persons exposed to danger. But when a duty of this kind is imposed for the benefit of particular persons, there arises at common law a correlative right in those persons who may be injured by its contravention.' An earlier and a later example of the application of this principle will be found in *Groves v. Wimborne (Lord)* [102] and *Monk v. Warbey* [103] in the former of which cases ***287** the Act in question was described by A. L. Smith L.J. [104] as 'a public Act passed in favour of the workers in factories and workshops to compel their employers to do certain things for their protection and benefit.'"

In *Cutler v. Wandsworth Stadium Ltd.,* [105] however, the statute, which required the provision of space for bookmakers at dog-racing tracks, was held not to give a cause of action to an individual bookmaker against the occupier of a licensed dogracing track.

The principles discussed have often been applied, and I do not think that there is any advantage in going through the circumstances of the cases in which the result has either been the one way or the other. Looking at the Merchandise Marks Acts, 1887 to 1953, as a whole and considering the other provisions of the Acts, as well as the provisions to which I have referred specifically, I do not find it possible to reach the conclusion that the statutes give a rival trader a civil right of action. If the Act had the protection of any class of persons in mind I think it was the purchasers of goods which might be misleadingly described. But I do not think that the Acts give a civil cause of action to anyone, except where expressly provided. The severe penalties contained in the Acts are, in my view, the remedies provided by the Acts, apart from specific provisions in particular cases. For instance, section 17 of the 1887 Act gives to a purchaser a right of action for breach of warranty, which would appear to be unnecessary if the other provisions of the Act already gave a cause of action. Moreover, both rival traders in a passing-off action and purchasers of goods in an action based on deceit have rights of action apart from these statutes and those rights are carefully preserved by section 19 of the Act of 1887.

I was referred by Mr. Wilberforce to two Irish cases in which relief was obtained by rival traders in a civil action based on the provisions of the Merchandise Marks Act, 1887 . These are *Thwaites & Co. v. M'Evilly* [106] and *J. Donohoe Ltd. v. Cherry Brothers Ltd.* [107] But in these cases it seems to have been assumed that the statute created a civil right of action, and I do not think that I can treat them as deciding the point which I have to decide.

288

In my view, therefore, the answer on point (b) must be that the Acts do not impose any statutory duty on the defendants which enables the plaintiffs to bring an action against them.

Representation

Solicitors: Monier-Williams & Keeling ; Summer & Co .

Order accordingly. Leave to appeal to both sides. Costs to be costs in the action. (M. G. T.)

Footnotes

1 Merchandise Marks Act, 1887 , as amended, s. 2 : "(1) Every person who ... (d) applies any false trade description to goods ... shall, subject to the provisions of this Act, and unless he proves that he acted without intent to defraud, be guilty of an offence against this Act. (2) Every person who sells, or exposes for, or has in his possession for, sale, or any purpose of trade or manufacture, any goods or things to which any forged trade mark or false trade description is applied, or to which any trade mark or mark so nearly resembling a trade mark as to be calculated to deceive is falsely applied, as the case may be shall, unless he proves either - (a) that, having taken all reasonable precautions against committing an offence against this Act, he had, at the time of the commission of the alleged offence, no reason to suspect the genuineness of the trade mark, mark or trade description, and that, on demand made by or on behalf of the prosecutor, he gave all the information in his power with respect to the persons from whom he

obtained such goods or things; or (b) that otherwise he acted innocently; be guilty of an offence against this Act." S. 3 : "The expression 'trade description' means any description, statement, or other indication, direct or indirect, ... (b) as to the place or country in which any goods were made or produced, or (c) as to the mode of manufacturing or producing any goods, or (d) as to the material of which any goods are composed. ... The expression 'false trade description' means a trade description which is false or misleading in a material respect as regards the goods to which it is applied. ..." S. 19 : "(1) This Act shall not exempt any person from any action, suit, or other proceeding which might, but for the provisions of this Act, be brought against him."

2 *(1915) 32 R.P.C. 273, 284; 31 T.L.R. 328* .

3 *[1932] 1 Ch. 201, 210; 48 R.P.C. 580* .

4 *[1939] 3 All E.R. 513, 526; 56 R.P.C. 429* .

5 (1861) 2 J. & H. 139.

6 *(1865) 12 L.T. 75* .

7 *(1769) 2 Wils.K.B. 414* .

8 *[1893] 2 Q.B. 412* .

9 *(1888) 4 T.L.R. 273* .

10 *(1883) 10 R.(Ct. of Sess.) 874* .

11 *(1878) 7 Ch.D. 848* .

12 (1890) 44 Fed.Rep. 277.

13 (1898) 86 Fed.Rep. 608.

14 (1899) 104 Fed.Rep. 82.

15 *(1889) 23 Q.B.D. 598* .

16 *[1949] A.C. 398; 65 T.L.R. 170; [1949] 1 All E.R. 544* .

17 *[1935] 1 K.B. 75; 51 T.L.R 77* .

18 *[1923] 2 K.B. 832; 39 T.L.R. 530* .

19 *[1939] 2 K.B. 365; 55 T.L.R. 384; [1939] 1 All E.R. 259* .

20 *[1904] 1 I.R. 310; 21 R.P.C. 397* .

21 *(1908) 26 R.P.C. 545* .

22 *[1951] 1 K.B. 34* ; 66 T.L.R. (Pt. 2) 474; *[1950] 2 All E.R. 657* .

23 *(1880) 15 Ch.D. 501* .

24 *32 R.P.C. 273* .

25 *[1932] 1 Ch. 201* .

26 *[1939] 3 All E.R. 513* .

27 2 J. & H. 139.

28 *12 L.T. 75* .

29 *7 Ch.D. 848* .

30 *4 T.L.R. 273* .

31 *2 Wils.K.B. 414* .

32 *17 R.P.C. 461* .

33 *(1898) 14 T.L.R. 160* .

34 *[1894] A.C. 347* .

35 *[1952] 1 K.B. 189; [1952] 1 T.L.R. 133; [1952] 1 All E.R. 226* .
36 *[1899] 1 Q.B. 86; 15 T.L.R. 29* .
37 86 Fed.Rep. 608.
38 *[1949] A.C. 399* .
39 *[1954] 2 Q.B. 243; [1954] 3 W.L.R. 317; [1954] 2 All E.R. 625* .
40 *[1898] 2 Q.B. 402; 14 T.L.R. 493* .
41 *[1910] A.C. 74* .
42 *[1911] 2 K.B. 149; 27 T.L.R. 308* .
43 *[1912] A.C. 149; 28 T.L.R. 150* .
44 *(1938) 55 T.L.R. 212; [1938] 4 All E.R. 631* .
45 *[1949] 1 K.B. 585; 65 T.L.R. 163; [1949] 1 All E.R. 532* .
46 *[1935] 1 K.B. 75* .
47 *[1941] 1 K.B. 742; 57 T.L.R. 343; [1941] 1 All E.R. 364* .
48 *[1904] 1 I.R. 310* .
49 *26 R.P.C. 545* .
50 *[1903] 1 Ch. 101; 19 T.L.R. 39* .
51 *[1903] 1 Ch. 759* .
52 *(1880) 15 Ch.D. 501* .
53 *[1901] 1 Ch. 894; 17 T.L.R. 313* .
54 *[1941] 1 K.B. 742* .
55 *[1911] 2 K.B. 149* .
56 *(1848) 1 Exch. 870; 11 L.T.O.S. 270* .
57 *[1911] 1 K.B. 771; 27 T.L.R. 65* .
58 *[1941] 1 K.B. 742* .
59 *15 Ch.D. 501* , 507.
60 *[1903] 1 Ch. 101* .
61 *[1894] A.C. 347* .
62 *(1878) 10 Ch.D. 294* .
63 *(1915) 32 R.P.C. 273; 31 T.L.R. 328* .
64 *32 R.P.C. 273* , 284.
65 *[1896] A.C. 199, 209; 12 T.L.R. 295; 13 R.P.C. 218* .
66 *32 R.P.C. 273* , 283.
67 *[1932] 1 Ch. 201, 210; 48 R.P.C. 580* .
68 *[1939] 3 All E.R. 513; 56 R.P.C. 429* .
69 *[1939] 3 All E.R. 513* , 526.
70 *(1769) 2 Wils.K.B. 414* .
71 (1861) 2 J. & H. 139.
72 Ibid. 143.
73 *(1865) 12 L.T. 75* .
74 2 J. & H. 139.
75 *(1878) 7 Ch.D. 848* .
76 *(1888) 4 T.L.R. 273* .
77 *(1900) 17 R.P.C. 461* .

78 *17 R.P.C. 461* , 474.
79 Ibid. 471, 475.
80 *(1883) 10 R. 874* .
81 (1890) 44 Fed.Rep. 277.
82 2 J. & H. 139.
83 *12 L.T. 75* .
84 (1898) 86 Fed.Rep. 608.
85 44 Fed.Rep. 277.
86 (1899) 104 Fed.Rep. 82.
87 86 Fed.Rep. 608.
88 *[1894] A.C. 347* .
89 *[1952] 1 K.B. 189; [1952] 1 T.L.R. 133; [1952] 1 All E.R. 226* .
90 *[1899] 1 Q.B. 86; 15 T.L.R. 29* .
91 *10 Ch.D. 294* .
92 *[1895] A.C. 587 ; 11 T.L.R. 555* .
93 86 Fed.Rep. 608.
94 *17 R.P.C. 461* .
95 *[1949] A.C. 398; 65 T.L.R. 170; [1949] 1 All E.R. 544* .
96 *[1949] A.C. 398* , 407, 408.
97 *(1831) 1 B. & Ad. 847* , 859.
98 *[1898] A.C. 387, 394; 14 T.L.R. 368* .
99 *[1912] A.C. 149, 165; 28 T.L.R. 150* .
100 *(1877) 2 Ex.D. 441* , 448.
101 *[1892] A.C. 345, 352; 8 T.L.R. 788* .
102 *[1898] 2 Q.B. 402; 14 T.L.R. 493* .
103 *[1935] 1 K.B. 75; 51 T.L.R. 77* .
104 *[1898] 2 Q.B. 402* , 406.
105 *[1949] A.C. 398* .
106 *[1904] 1 I.R. 310; 21 R.P.C. 397* .
107 *(1908) 26 R.P.C. 545* .